

Analytics (MIA), points out that the scheme's primary objective was always about amplifying exports and diminishing reliance on imports. "While still in its early stages, it [the PLI scheme] has shown some early signs of success. Boosted by it, India's smartphone exports have ballooned in FY23 with the country doubling its tally since the previous fiscal. Manufacturers such as Samsung, Foxconn, etc., have also set up large-scale manufacturing plants in India," he says.

But how exactly did PLI help? According to experts, the PLI aimed at rapidly growing the total number of handsets assembled rather than directly pushing for a component ecosystem, which could have brought too many hurdles in the initial phases, thereby impacting its growth. Also, the classic dilemma—whether to ramp up production or to first build a component ecosystem—may not even be a concern for PLI. "As manufacturers scale up production rapidly and fight to capture the global markets, the component ecosystem would grow naturally since they would have to remain competitive in terms of pricing as well," explains Pan-kaj Mohindroo, Chairman of industry body Indian Cellular and Electronics Association (ICEA).

Under the sectoral PLI, ₹11,000 crore worth of proposed investments from some 16 companies were approved in October, 2020. Five leading global firms—

Foxconn, Wistron and Pegatron (all three are suppliers to Apple), Rising Star and Samsung—intended to manufacture smartphones priced above ₹15,000 a unit, while five domestic companies, including Lava, Bhagwati (Micromax), UTL Neolyncs (associated with Reliance Jio), and Padget Electronics (Dixon), were allowed to make lower-value handsets. As per the government's estimates, these would result in ₹10.5 lakh crore worth of additional production over a five-year period, which would include ₹6.5 lakh crore (or 62%) worth of exports.

Sunil Vachani, Executive Chairman of Dixon Technologies, a manufacturer of electronics goods and one of the key beneficiaries of the scheme, says that the PLI scheme has been instrumental in placing Dixon on the global manufacturing map. Headquartered in Noida, the firm currently stands at 21st position among global manufacturers of electronics items, which includes handsets, smart televisions and white goods. "In 2020, when we got the approval under the PLI to manufacture mobile handsets, we were producing only 70,000-80,000 handsets a year. Now our capacity is 70 million pieces a year," says Vachani. Agrees Kanwaljeet Jawa, MD & CEO, Daikin Airconditioning India. He is of the opinion that the PLI scheme can be a game changer for AC component manufacturing as well. He points out that while 75% components in AC manufacturing are now being imported, it

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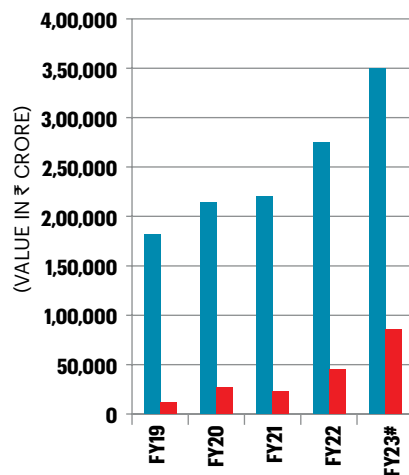


"We were the first to apply and get the PLI incentive. Till date, all our dues have been up-to-date and are clear"

SUNIL VACHANI
CHAIRMAN, DIXON
TECHNOLOGIES

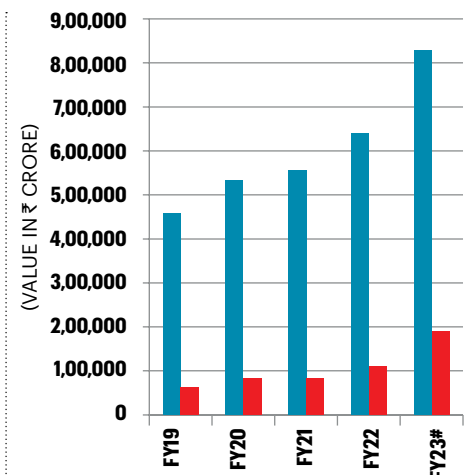
STEADY RISE

- The value of locally-produced mobile handsets has seen a remarkable rise
- Exports of handsets from India have witnessed a fourfold increase



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• MOBILE HANDSET EXPORTS

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